

**LAW & MOTION CALENDAR
TENTATIVE RULINGS**

December 12, 2024

**Judge Melissa R. McCormick
Dept. CX104**

Department CX104 hears law and motion on Thursdays at 2:00 p.m.

Court reporters: Official court reporters typically are not provided in this department for any proceedings. If the parties desire the services of a court reporter, the parties should follow the procedures set forth on the court's website at www.occourts.org.

Tentative rulings: The court endeavors to post tentative rulings on the court's website by 9:00 a.m. the day of the hearing. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted.

Submitting on tentative rulings: If all parties intend to submit on the tentative ruling and do not desire oral argument, please advise the courtroom clerk or courtroom attendant by calling (657) 622-5304. Please do not call the department unless all parties submit on the tentative ruling. If all parties submit on the tentative ruling and so advise the court, the tentative ruling will become the court's final ruling and the prevailing party shall give notice of the ruling.

Appearances and public access: Appearances, whether in person or remote, must comply with Civil Procedure Code section 367.75, California Rule of Court 3.672, Orange County Superior Court Local Rule 375, and Orange County Superior Court Appearance Procedure and Information—Civil Unlimited and Complex (pub. 9/9/22).

Unless the court orders otherwise, remote appearances will be conducted via Zoom. All counsel and self-represented parties appearing via Zoom must check in through the court's civil remote appearance website before the hearing begins. Check-in instructions are available on the court's website.

The public may attend hearings by coming to court or via remote access as described above.

Photographing, filming, recording and/or broadcasting court proceedings are prohibited unless authorized pursuant to California Rule of Court 1.150 or Orange County Superior Court Local Rule 180.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The court also might make a different order. See *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442 n.1.

NO.	CASE NAME	MATTER
1 10:00 am	Stickney, et al. v. State Farm General Insurance Company 2021-01231896	<u>Defendant State Farm Insurance Company's Motion for Judgment Notwithstanding the Verdict</u> <u>Defendant State Farm Insurance Company's Motion for Order Vacating Judgment and Entering New and Different Judgment</u> Defendant State Farm Insurance Company moves for judgment notwithstanding the verdict and for an order vacating the judgment and entering a new and different judgment following the jury's September 25, 2024 verdict (ROA 494) in favor of

		plaintiffs James Stickney and April Stickney. The jury found in plaintiffs' favor on their breach of contract claim and awarded \$44,292.00, and found in plaintiffs' favor on their bad faith claim (breach of the implied covenant of good faith and fair dealing) and awarded no damages. The court entered judgment on the jury's verdict on October 7, 2024 (ROA 510). For the following reasons, State Farm's motions are denied. <i>Legal standards</i> On a motion for judgment notwithstanding the verdict (JNOV), a court may render a judgment that is opposite or contrary to the verdict reached by the jury. Cal. Civ. Proc. Code § 629. The purpose of a motion for JNOV is not to afford a review of the jury's deliberations but to prevent a miscarriage of justice in a case in which the verdict rendered is without foundation. <i>Oakland Raiders v. Oakland-Alameda County Coliseum, Inc.</i> (2006) 144 Cal.App.4th 1175, 1194. A court must grant a motion for JNOV when the facts show that either of the following motions should have been granted if made: (i) a defendant's motion for nonsuit under section 581c after the plaintiff's opening statement or at the close of the plaintiff's evidence; or (ii) a motion for a directed verdict under section 630 after all parties have completed their presentation of evidence. See Cal. Civ. Proc. Code § 629; <i>Gonzales v. City of Atwater</i> (2016) 6 Cal.App.5th 929, 946; <i>Pacific Corp. Group Holdings, LLC v. Keck</i> (2014) 232 Cal.App.4th 294, 309. A motion for a directed verdict is in the nature of a demurrer to the evidence and is governed by the same rules, and concedes as true the evidence on the adverse party's behalf, with all fair and reasonable inferences to be deduced from that evidence. <i>Id.</i> In ruling on a motion for JNOV, the court may not weigh the evidence or determine the credibility of the witnesses, but must accept the evidence tending to support the verdict as true unless it is inherently incredible on its face. <i>Tun v. Wells Fargo Dealer Servs., Inc.</i> (2016) 5 Cal.App.5th 309, 333; <i>Linear Tech. Corp. v. Tokyo Electron Ltd.</i> (2011) 200 Cal.App.4th 1527, 1532. A court must resolve conflicts in the evidence against the moving party and in the opposing party's favor and must draw all reasonable inferences from the evidence against the moving party and in the opposing party's favor. See <i>McCoy v. Gustafson</i> (2009) 180 Cal.App.4th 56, 84; <i>Kephart v. Genuity, Inc.</i> (2006) 136 Cal.App.4th 280, 289. A court may grant a motion for JNOV only if there is no substantial evidence to support the verdict. <i>Gonzales</i>, 6 Cal.App.5th at 946. A judgment or decree based on a judge's decision or a jury's special verdict may be set aside and vacated, and another and different judgment entered, on an aggrieved party's motion. The motion must be based on one of the following grounds materially affecting the substantial rights of the party and entitling the party to a different judgment: (i) incorrect or erroneous legal basis for the decision, not consistent with or not
--	--	---

		supported by the facts; and in such case when the judgment is set aside, the statement of decision shall be amended and corrected; or (ii) a judgment or decree not consistent with or not supported by the special verdict. Cal. Civ. Proc. Code § 663. In ruling on a motion to vacate, the court may not reweigh the evidence. "A motion to vacate under section 663 is a remedy to be used when a trial court draws incorrect conclusions of law or renders an erroneous judgment on the basis of uncontroverted evidence." <i>Simac Design, Inc. v. Alciati</i> (1979) 92 Cal.App.3d 146, 153. "In ruling on a motion to vacate the judgment[,] the court cannot ""in any way change any finding of fact""; a court may only change conclusions of law. <i>Glen Hill Farm, LLC v. California Horse Racing Bd.</i> (2010) 189 Cal.App.4th 1296, 1302. <i>Breach of contract cause of action</i> State Farm argues in its JNOV motion that the evidence at trial did not support the jury's breach of contract verdict. State Farm argues, as it did at trial, that the cause of the leak to the pipe was excluded and the cause of the water damage was excluded. Plaintiffs argue, as they did at trial, that there was a burst in the pipe that caused a sudden release of water into their home over a short period of time. Both sides had an opportunity to present their theories and evidence to the jury over the course of the multi-day trial. As demonstrated by the trial evidence cited in the moving and opposition papers, the parties presented conflicting evidence at trial regarding whether the loss, i.e., the resulting water damage to plaintiffs' property, was covered by the State Farm policy. (Before the case was submitted to the jury, the parties stipulated the only coverage issue for the jury to decide was whether the resulting water loss was covered. Opp. (ROA 562) at 3 n.10.) Plaintiffs presented evidence they did not see any water intrusion on December 13, 2020, the day before they testified they first observed water in their home. Opp. (ROA 563) Ex. C at 43:9-44:1. James Stickney testified there was "a large volume of water all throughout the hallway, kitchen, the kitchen area, hallway and living room," and that "when [he] walked on [the floor], . . . the water would just come gushing out of the sides of floor or the seams of the flooring." <i>Id.</i> at 52:13-20, 39:23-26. April Stickney testified "[t]he [water] puddles were sitting on the flooring," and she "saw water on top of [her] flooring." <i>Id.</i> Ex. E at 244:13, 245:16. There was also evidence introduced that the plumber who inspected the property found "[a] hot copper line burst leak under slab from water heater manifold to guest bathroom sink manifold approximately 15 ft from fixture to fixture causing water damages." Trial Ex. 201. In addition, plaintiffs' construction expert, Morgan Livingston, opined that based on his review of the file materials, the cause of the loss was a sudden and accidental burst of the hot water supply line. Opp.
--	--	--

		(ROA 563) Ex. F at 59:15-22. Livingston also opined that the copper supply lines servicing plaintiffs' home "were installed within the structural assembly of the foundation, and not below the ground or the structural assembly, or outside of the structural assembly" <i>Id.</i> at 46:13-18; <i>see also id.</i> at 47:26-48:16, 49:13-50:24, 55:12-15. In sum, in light of the evidence introduced at trial, including but not limited to the examples cited above, the court cannot conclude that there was no substantial evidence to support the jury's breach of contract verdict. State Farm's JNOV motion as to the breach of contract cause of action is denied. <i>Breach of implied covenant (bad faith) cause of action</i> On the bad faith cause of action, the jury found: (i) State Farm failed to pay policy benefits; (ii) State Farm's failure to pay policy benefits was unreasonable or without proper cause; and (iii) State Farm's failure to pay policy benefits was a substantial factor in causing harm to James Stickney or April Stickney. ROA 494. The jury awarded plaintiffs no damages on the bad faith claim. <i>Id.</i> State Farm argues in its JNOV motion that the evidence at trial did not support the jury's bad faith verdict. Plaintiffs presented evidence State Farm's adjuster was "dismissive" and uninterested in assisting plaintiffs in understanding his reasons for the claim denial; plaintiffs' State Farm agent thought the adjuster's failure to call plaintiffs was "outrageous;" the adjuster did not contact the plumber who worked on the leak; and State Farm denied plaintiff's claimed despite having no information about how long the pipe had been leaking before the leak was discovered. Opp. (ROA 563) Ex. B at 86:11-15, 123:9-12; Ex. D. at 192:12-193:2; Ex. E at 216:11-217: 13, 218:8-21. Plaintiffs' expert Sandra Moriarty testified that State Farm did not reconcile conflicting information in the claim file about the leak, and she opined based on her review of the claim file that State Farm did not investigate the area below plaintiffs' slab. <i>Id.</i> Ex. E at 104:14-105:1, 116:18-21. In sum, in light of the evidence introduced at trial, including but not limited to the examples cited above, the court cannot conclude that there was no substantial evidence to support the jury's bad faith verdict. State Farm's JNOV motion based on an alleged lack of substantial evidence as to the bad faith cause of action is denied. State Farm also argues in its JNOV motion and its motion to vacate the judgment that the jury's bad faith verdict is legally insufficient because the jury did not award monetary damages. In <i>Brandt v. Superior Court</i> (1985) 37 Cal.3d 813, the court held that when an insurer tortiously withholds benefits, attorneys' fees reasonably incurred to compel payment of the policy benefits are recoverable as an element of the damages resulting from the tortious conduct. "[I]f an insurer, in
--	--	---

		discharging its contractual responsibilities, “fails to deal fairly and in good faith with its insured by refusing, without proper cause, to compensate its insured for a loss covered by the policy, such conduct may give rise to a cause of action in tort for breach of an implied covenant of good faith and fair dealing.” [Citation.] When such a breach occurs, the insurer is “liable for any damages which are the proximate result of that breach.”” <i>Id.</i> at 817. “When an insurer’s tortious conduct reasonably compels the insured to retain an attorney to obtain the benefits due under a policy, it follows that the insurer should be liable in a tort action for that expense. The attorney’s fees are an economic loss—damages—proximately caused by the tort. . . . What we consider here is attorney’s fees that are recoverable as damages resulting from a tort in the same way that medical fees would be part of the damages in a personal injury action.” <i>Id.</i> (citations omitted). Here, the jury found that State Farm’s conduct in failing to pay policy benefits to plaintiffs was unreasonable or without proper cause, and that the failure to pay policy benefits harmed plaintiffs. Under these circumstances, plaintiffs are permitted to recover for all detriment proximately resulting from State Farm’s bad faith, which detriment includes those attorneys’ fees that were incurred to obtain the policy benefits and that would not have been incurred but for State Farm’s tortious conduct. “Since the attorney’s fees are recoverable as damages, the determination of the recoverable fees must be made by the trier of fact unless the parties stipulate otherwise. [Citations.] A stipulation for a postjudgment allocation and award by the trial court would normally be preferable since the determination then would be made after completion of the legal services [citations], and proof that otherwise would have been presented to the jury could be simplified because of the court’s expertise in evaluating legal services.” <i>Brandt</i>, 37 Cal.3d at 819-20 (citations omitted). In this case, the parties stipulated pretrial that <i>Brandt</i> fees would be addressed by posttrial motion. 9/4/24 Order (ROA 449). State Farm argues that because the jury found plaintiffs did not suffer any economic loss from State Farm’s bad faith conduct, plaintiffs did not prove bad faith. JNOV Reply (ROA 593) at 7:14-16 (“State Farm’s position is that the absence of an economic loss is fatal to Plaintiffs’ bad faith cause of action.”). State Farm ignores that, as held in <i>Brandt</i>, where an insurer’s tortious conduct reasonably compels an insured to retain an attorney to obtain policy benefits, those “attorney’s fees are an economic loss—damages—proximately caused by the tort.” <i>Brandt</i>, 37 Cal. 3d at 817. State Farm cites no cases holding that to obtain bad faith damages in the form of attorneys’ fees a plaintiff must also be awarded some other type of economic damages.
--	--	--

		<i>The Kishida declaration</i> State Farm submitted a declaration from juror Cassandra Kishida in support of both of its motions. Plaintiffs object the Kishida declaration is inadmissible. Kishida states: "4. During deliberations, the jurors were of the opinion that the damages Plaintiffs requested were too high and that there was insufficient proof to award damages for any sort of emotional distress. Further, the jurors did not believe that Defendant State Farm's withholding of any insurance benefits warranted awarding Plaintiffs damages beyond the \$44,296.00 awarded for Breach of Contract. "5. Although Presiding Juror Cody Menerhoff mentioned that he felt bad for Plaintiffs and wanted to award bad faith damages, a portion of which he wanted to cover attorneys' fees, the other jurors did not think Plaintiffs should be awarded damages for bad faith. "6. Most of our discussion during deliberation was regarding the cost of repair to Plaintiffs property." Kishida Decl. (ROA 573) ¶¶ 4-6. State Farm argues Kishida's declaration demonstrates that the jury did not want to award plaintiffs any monetary damages for bad faith, including attorneys' fees. California Evidence Code section 1150(a) states: "Upon an inquiry as to the validity of a verdict, any otherwise admissible evidence may be received as to statements made, or conduct, conditions, or events occurring, either within or without the jury room, of such a character as is likely to have influenced the verdict improperly. No evidence is admissible to show the effect of such statement, conduct, condition, or event upon a juror either in influencing him to assent to or dissent from the verdict or concerning the mental processes by which it was determined." Cal. Evid. Code § 1150(a). Juror declarations stating reasons given by a juror for his or her vote, what the declarant or other jurors "felt," or how the jurors arrived at a damages award are inadmissible. <i>People v. Lindberg</i> (2008) 45 Cal.4th 1, 53; <i>People v. Duran</i> (1996) 50 Cal.App.4th 103, 112-13; <i>Maxwell v. Powers</i> (1994) 22 Cal.App.4th 1596, 1604-05. The Kishida declaration does all of these things. The Kishida declaration is inadmissible. State Farm cites two cases as purported support for consideration of the Kishida declaration. Neither case supports a finding that the Kishida declaration is admissible. In <i>Krouse v. Graham</i> (1977) 19 Cal.3d 59, the court found the trial court should have considered four juror declarations bearing on whether the jury improperly agreed to award attorneys' fees as part of a wrongful death and personal injury verdict, and by so doing committed misconduct. <i>Id.</i> at 81-82. There are no
--	--	---

		allegations of juror misconduct here. State Farm's other case, <i>Drust v. Drust</i> (1980) 113 Cal.App.3d 1, has been criticized, and the court does not find it persuasive. <i>Ferreira v. Quik Stop Markets, Inc.</i> (1983) 141 Cal.App.3d 1023, 1034-35 ("<i>Drust</i> appears to be an anomaly and is inconsistent with the clear language of Evidence Code section 1150, subdivision (a). We decline to follow <i>Drust</i> . . . <i>Drust</i> takes <i>Krouse</i> a step farther than permissible, and was wrongly decided."). Plaintiffs to give notice.
2	Garcia-Avila, et al. v. Orange County Erectors, Inc. 2022-01284202	<u>Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement</u> The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiff's motion for preliminary approval of a \$750,000 class action and PAGA settlement. Subject to plaintiff's submission of the revised documents identified below, the court grants the motion as follows: \$5,000.00 for each plaintiff's enhancement payment (i.e., \$10,000.00 total) (not to exceed); \$250,000.00 for attorneys' fees (not to exceed); \$30,000.00 for litigation costs (not to exceed); \$8,000.00 for settlement administration costs (not to exceed); and \$40,000.00 total PAGA penalties (\$30,00.00 to LWDA). The court has the following comments: 1. The notice and paragraph 10 of the proposed order (ROA 92) should include the amounts set forth above. 2. The various now-superseded copies of the notice and forms should not be attached to the proposed order as exhibits. The only notice and forms attached to the proposed order should be the operative notice and forms (in English and Spanish). Plaintiff is ordered to file and serve by <u>December 19, 2024</u> a revised proposed order with all exhibits attached (including a revised notice as discussed above). The final approval hearing is scheduled for <u>May 1, 2025 at 2:00 p.m.</u> in Department CX104. The motion for final approval shall be filed at least 16 court days before the hearing. See Department CX104 Guidelines for Approval of Class Action Settlements and PAGA Settlements (www.occourts.org). Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.